Chapter V – General Guidelines for Credit Cards

A. General Conditions

58. Card-issuers shall keep internal records to enable operations to be traced and errors to be rectified (taking into account the law of limitation for the time barred cases) as prescribed under Reserve Bank of India (Non-Banking Financial Companies – Know Your Customer) Directions, 2025, as amended from time to time.

59. The cardholder shall be provided with a record of the transactions after he / she has completed it, immediately in the form of receipt or another form such as the bank statement / email / SMS.

60. With a view to reducing the instances of misuse of lost / stolen cards, it is recommended to the card-issuers that they may consider issuing card with advanced features that may evolve from time to time.

61. In case card-issuers, at their discretion, decide to block / deactivate / suspend a credit card, it shall be ensured that a standard operating procedure is followed as approved by their Board. Further, it shall also be ensured that blocking / deactivating / suspending a card or withdrawal of benefits available on any card is immediately intimated to the cardholder along with reasons thereof through electronic means (SMS, email, etc.) and other available modes.

    Explanation: De-activation / Blocking of a credit card temporarily curtails the ability of a cardholder to make any transaction in a credit card account while still maintaining the credit / account relationship with the card-issuer whereas closure of a credit card amounts to termination of the account-based relationship between the cardholder and the card-issuer.

62. Card-issuers shall block a lost card immediately on being informed by the cardholder and formalities, if any, can follow within a reasonable period clearly defined in the Board approved policy.

63. Card-issuers shall provide to the cardholder the detailed procedure to report the loss, theft or unauthorised use of card or PIN. They shall provide multiple channels such as a dedicated helpline, dedicated number for SMS, dedicated e-mail-id, Interactive Voice Response, clearly visible link on the website, internet

banking and mobile-app or any other mode for reporting an unauthorized transaction on 24 x 7 basis and allow the customer to initiate the blocking of the card. The process for blocking the card, dedicated helpline as well as the SMS numbers, shall be adequately publicized and included in the billing statements.

64. Card-issuers shall immediately send a confirmation to the cardholder subsequent to the blocking of a card.

65. A card-issuer shall not dispatch a card to a customer unsolicited. In case of renewal of an existing card, the cardholder shall be provided an option to decline the same if he / she wants to do so before dispatching the renewed card. Further, in case a card is blocked at the request of the cardholder, replacement card in lieu of the blocked card shall be issued with the explicit consent of the cardholder.

66. Any discounts, cashbacks, reward points, loyalty points or any other benefits offered by the card-issuer shall be provided in a transparent manner including source of such benefits. The accounting process for the same shall be verifiable in the books of the card-issuer. Detailed information regarding these benefits shall be displayed on the website of the card-issuer and a copy of the same shall also be provided to the cardholder.

67. The Reserve Bank has not prescribed any requirement for insurance cover on credit cards. However, in case a card-issuer or a card payment network provides an insurance cover, complimentary or chargeable (with the consent of the cardholder), the card-issuer shall ensure that the relevant nomination details are recorded by the Insurance Company and the availability of insurance is included, along with other information, in every statement. The information shall also include the details regarding the insurance cover, name / address and telephone number of the Insurance Company which will handle the claims relating to the insurance cover. In case of group insurance policy, the contact details of the concerned officials of the card-issuer shall be provided in the statements.

B. Terms and conditions for issue of cards to customers

68. The relationship between the card-issuer and the cardholder shall be contractual. Card-issuers shall make available to the cardholders in writing, a set of contractual terms and conditions governing the issue and use of such cards.

These terms shall be expressed clearly and also maintain a fair balance between the interests of the parties concerned.

69. The terms and conditions for the issue and usage of a card shall be mentioned in clear and simple language (preferably in English, Hindi and the local language) comprehensible to the cardholder.

70. Card-issuers shall not levy any charge that was not explicitly indicated to the cardholder at the time of issue of the card and without getting his / her explicit consent. However, this shall not be applicable to charges like service taxes which may subsequently be levied by the Government or any other statutory authority. The details of all the charges associated with cards shall be displayed on the card-issuer's website.

71. The convenience fee, if any charged on specific transactions, shall be indicated to the cardholder in a transparent manner, prior to the transaction.

72. The terms shall clearly specify the time-period for reversal of unsuccessful / failed transactions and the compensation payable for failure to meet the specified timeline.

73. The terms may be altered by the card-issuer, but 30 days' notice of the change shall be given to the cardholder to enable him / her to withdraw if he / she so chooses. After the notice period of 30 days, the cardholder would be deemed to have accepted the terms if he / she had not withdrawn during the specified period. The change in terms shall be notified to the cardholder through all the communication channels available.

74. The terms shall put the cardholder under an obligation to take all appropriate steps to keep the card safe and not to record the PIN or code, in any form that would be intelligible or otherwise accessible to any third party if access is gained to such a record, either honestly or dishonestly.

75. The terms shall specify that the card-issuer shall exercise care when issuing PINs or codes and shall be under an obligation not to disclose the cardholder's PIN or code to anyone, except to the cardholder.

C. Compliance with Other instructions

76. The issue of cards as a payment mechanism shall also be subject to relevant instructions on cash withdrawal, issue of international card, security issues and risk mitigation measures, card-to-card fund transfers, merchant discount rates structure, failed ATM transactions, etc, issued by the Department of Payment and Settlement Systems, Reserve Bank of India under the Payment and Settlement Systems Act, 2007, and the Foreign Exchange Department, Reserve Bank of India under Foreign Exchange Management Act, 1999, as amended from time to time.

D. Redressal of grievances

77. Card-issuers shall put in place a Grievance Redressal Mechanism within the card issuing entity and give wide publicity about it through electronic and print media. The name, direct contact number, email-id and postal address of the designated grievance redressal officer of the card-issuer shall be mentioned on the credit card bills and account statements. The designated officer shall ensure that grievances of cardholders are redressed promptly without any delay. Specific timelines may be stipulated in the Board approved policy for issuance of cards, redressal of grievances and compensation framework. The grievance redressal procedure and the Board approved policy shall be displayed on the website of the card-issuer with a clearly visible link on the homepage.

78. Card-issuers shall ensure that their call centre staff are trained adequately to competently handle and escalate, a complaint, if necessary. The Grievance Redressal process shall have a provision for automatic escalation of unresolved complaints from a call center / base level to higher authorities. There shall be a system of acknowledging customers' complaints for follow up, such as complaint number / docket number, even if the complaints are received over phone.

79. Card-issuers shall be liable to compensate the complainant for the loss of his / her time, expenses, financial loss as well as for the harassment and mental anguish suffered by him / her for the fault of the card-issuer and where the grievance has not been redressed in time. For redressal of his / her grievance, the customer must first approach the concerned card-issuer. If the card-issuer does not respond within a period of 30 days after filing of the complaint or rejects

the complaint wholly / partly or if the customer is not satisfied with the response / resolution given by the card-issuer, the customer can lodge his / her complaint with the Ombudsman, Reserve Bank through any of the following methods:

(1) Online at https://cms.rbi.org.in.

(2) Physical complaint (letter / post) in the form as specified in Annexure 'A' of the Reserve Bank - Integrated Ombudsman Scheme, 2021 to "Centralised Receipt and Processing Centre, 4th Floor, Reserve Bank of India, Sector -17, Central Vista, Chandigarh - 160017".

E. Confidentiality of customer information

80. Card-issuers shall not reveal any information relating to customers obtained at the time of opening the account or issuing the card to any other person or organization without obtaining their explicit consent, with regard to the purpose/s for which the information will be used and the organizations with whom the information will be shared. Card-issuers shall ensure strict compliance to the extant legal framework on data protection. Further, in case where the customers give explicit consent for sharing the information provided by them with other agencies, card-issuers shall clearly state and explain to the customer the full meaning / implications of the disclosure clause. The information sought from customers shall not be of such nature which will violate the provisions of law relating to maintenance of secrecy in the transactions. The card-issuers shall be solely responsible for the correctness or otherwise of the data provided for the purpose.

81. Under a co-branding arrangement, the co-branding entity shall not be permitted to access any details of customer's accounts that may violate the card-issuer's secrecy obligations.

82. Card-issuers, which were granted specific approvals for issuance of co-branded cards in the past, are advised to ensure that the co-branding arrangement is in conformity with the instructions issued under Chapter IV above.

F. Outsourcing of various services

83. Card-issuers shall ensure adherence to the Reserve Bank of India (Non-Banking Financial Companies – Managing Risks in Outsourcing)

Directions, 2025, as amended from time to time. Further, the card-issuers shall not share card data (including transaction data) of the cardholders with the outsourcing partners unless sharing of such data is essential to discharge the functions assigned to the latter. In case of sharing of any data as stated above, explicit consent from the cardholder shall be obtained. It shall also be ensured that the storage and the ownership of card data remains with the card-issuer.

G. Compliance with Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Standards / Combating of Financing of Terrorism (CFT) / Obligation under the PMLA, 2002

84. The instructions / Directions on KYC / AML / CFT issued by RBI from time to time, shall be strictly adhered to in respect of all cards issued, including co-branded cards.

Chapter VI – Miscellaneous

A. Contents of the Most Important Terms and Conditions

85. Card-issuers shall provide to the cardholder the term-sheet containing the MITC. The document should contain the following details:

(1) Fees and Charges

- (i) Joining fees for primary cardholder and for add-on cardholder/s
- (ii) Annual membership fees for primary and add-on cardholder/s
- (iii) Cash advance fee
- (iv) Service charges levied for transactions
- (v) Interest free (grace) period - illustrated with examples
- (vi) Finance charges for both revolving credit and cash advances
- (vii) Overdue interest charges - to be given on monthly & annualised basis
- (viii) Charges in case of default

(2) Drawal Limits

- (i) Credit limit
- (ii) Available credit limit
- (iii) Cash withdrawal limit

(3) Billing

- (i) Billing statements - periodicity and mode of sending
- (ii) Minimum amount payable
- (iii) Method of payment
- (iv) Billing disputes resolution
- (v) Complete postal address of card-issuer
- (vi) Toll free number, email-id and dedicated telephone number for SMS for customer care services, contact details of Grievance Redressal Official

(4) Default and Circumstances

- (i) Procedure including notice period for reporting a cardholder as defaulter
- (ii) Procedure for withdrawal of default report and the period within which the default report would be withdrawn after settlement of dues

(iii) Recovery procedure in case of default

(iv) Recovery of dues in case of death / permanent in capacitance of cardholder

(v) Available insurance cover, if any, for cardholder and date of activation of policy including nomination details

(5) Termination / Revocation of Card Membership

(i) Procedure for surrender / closure of card by cardholder

(ii) Link provided exclusively for the above on the website

(iii) Contact details for the cardholder to initiate closure – email-id, dedicated telephone number for SMS, IVRS

(iv) Procedure for closure of card account if the card has not been used for more than one year

(6) Loss / Theft / Misuse of Card

(i) Procedure to be followed in case of loss / theft / misuse of card - mode of intimation to card-issuer

(ii) Prominently visible web-site link, phone banking, SMS, e-mail, IVR, a dedicated tollfree helpline, reporting to home branch, etc. for reporting unauthorised transactions and initiating blocking of card

(iii) Liability of cardholder in case of (i) above in terms of Reserve Bank of India (Commercial Banks – Responsible Business Conduct) Directions, 2025

(7) Grievance Redressal and Compensation Framework

(i) Grievance redressal and escalation process

(ii) Timeline for redressal of grievances

(iii) Compensation framework for unsuccessful / failed transactions, delay in redressal of grievance, delay in closing of account / blocking of lost or stolen cards, etc.

(iv) Contact particulars of card-issuer - 24-hour call centres, email-ids, helpline, other important telephone numbers

(8) Disclosure